CAPITAL IMPROVEMENT PLAN

Union Market Lofts | Boston, MA

Property	Union Market Lofts
Plan Date	July 29, 2025
Prepared For	Juniper Peak Real Estate Fund
Total Plan Budget	$170,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Building	11/17/23	Q2 2025	$846,000	$764,104	Deferred
Sewer line repair	Site	06/07/24	Q4 2025	$794,000	$57,959	In progress
ADA compliance	Life Safety	04/19/24	Q4 2027	$599,000	$500,299	Bidding
Sewer line repair	Interior	02/02/23	Q3 2027	$754,000	$714,148	In progress
Elevator modernization	Energy	11/15/23	Q2 2025	$649,000	$510,116	In progress
Exterior paint	Building	01/08/25	Q2 2026	$860,000	$91,264	Deferred
LED lighting retrofit	Building	07/25/23	Q3 2025	$747,000	$580,342	Deferred
Amenity renovation	Energy	02/07/24	Q2 2027	$541,000	$523,220	In progress
Storefront glazing	Energy	09/14/24	Q4 2025	$481,000	$150,741	Deferred
Pool resurfacing	Life Safety	06/14/24	Q2 2025	$442,000	$421,209	In progress
Exterior paint	Energy	10/08/24	Q3 2027	$501,000	$390,131	Bidding
Amenity renovation	Building	04/02/26	Q4 2027	$101,000	$58,838	Deferred
LED lighting retrofit	Site	03/19/24	Q2 2026	$578,000	$143,620	Bidding
Security camera upgrade	Interior	01/17/25	Q1 2027	$168,000	$58,929	Bidding
Sewer line repair	Life Safety	01/28/23	Q3 2025	$500,000	$180,675	Complete
Roof replacement - Bldg D	Building	07/24/23	Q4 2026	$227,000	$191,000	Bidding
Unit interior upgrades	Energy	09/11/23	Q3 2025	$42,000	$1,160	Complete
Signage / monument	Life Safety	07/06/25	Q1 2026	$608,000	$326,806	Approved
Signage / monument	Building	01/28/26	Q3 2026	$193,000	$168,609	Deferred
Storefront glazing	Building	12/01/25	Q1 2025	$447,000	$177,258	Bidding
Storefront glazing	Site	11/13/25	Q3 2025	$147,000	$124,239	In progress
Landscape / irrigation	Life Safety	11/04/25	Q3 2027	$96,000	$45,560	In progress
LED lighting retrofit	Building	02/27/24	Q2 2026	$91,000	$11,172	Deferred
Lobby renovation	Life Safety	12/29/24	Q2 2027	$820,000	$448,418	Complete

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Building	02/25/23	Q3 2026	$216,000	$69,523	Deferred
Exterior paint	Site	06/13/25	Q2 2027	$131,000	$21,193	In progress
ADA compliance	Life Safety	05/28/25	Q3 2027	$713,000	$123,183	In progress
Signage / monument	Energy	09/08/24	Q1 2025	$411,000	$381,358	Approved
Elevator modernization	Energy	08/28/24	Q3 2026	$413,000	$379,134	Bidding
Pool resurfacing	Site	01/07/26	Q1 2027	$752,000	$449,273	Bidding
Door hardware	Life Safety	12/30/23	Q2 2027	$737,000	$639,029	Complete
Door hardware	Interior	05/15/26	Q2 2027	$458,000	$164,334	Deferred
ADA compliance	Building	04/22/24	Q2 2026	$249,000	$228,500	Complete
Elevator modernization	Energy	10/09/26	Q2 2026	$203,000	$104,271	Complete
Fence replacement	Site	09/21/25	Q3 2027	$742,000	$533,989	In progress
ADA compliance	Site	01/08/24	Q1 2025	$279,000	$204,874	Deferred
Door hardware	Interior	06/26/24	Q3 2026	$830,000	$196,951	Deferred
Signage / monument	Building	05/02/23	Q1 2025	$455,000	$141,891	In progress
Signage / monument	Building	05/05/23	Q1 2025	$766,000	$321,457	Deferred
Sewer line repair	Site	01/24/24	Q1 2027	$764,000	$117,334	In progress
Water heater replacement	Site	09/01/26	Q4 2027	$879,000	$771,016	Approved
Storefront glazing	Life Safety	09/04/23	Q2 2025	$764,000	$315,756	Deferred
Elevator modernization	Life Safety	10/11/25	Q4 2026	$300,000	$113,459	Complete
Door hardware	Building	12/26/23	Q1 2027	$459,000	$105,296	In progress
Security camera upgrade	Interior	07/10/24	Q3 2026	$810,000	$229,478	Deferred
LED lighting retrofit	Energy	04/02/23	Q4 2027	$132,000	$75,721	Approved
Parking lot resurfacing	Energy	03/15/24	Q3 2026	$605,000	$280,398	Deferred
HVAC replacement	Interior	01/24/26	Q3 2027	$552,000	$510,076	Bidding
Sewer line repair	Energy	09/13/25	Q3 2025	$274,000	$128,400	Approved
Fence replacement	Building	01/02/25	Q3 2025	$16,000	$10,225	Complete
Pool resurfacing	Site	11/14/26	Q1 2026	$577,000	$89,222	In progress
Amenity renovation	Interior	08/24/26	Q3 2025	$363,000	$290,546	Deferred
Unit interior upgrades	Life Safety	08/19/25	Q1 2027	$897,000	$826,861	Complete
Sewer line repair	Building	08/29/25	Q4 2026	$95,000	$28,193	Complete
Parking lot resurfacing	Interior	02/13/25	Q2 2026	$501,000	$38,133	Bidding
Signage / monument	Life Safety	05/24/25	Q3 2025	$638,000	$476,861	Approved
Fire alarm panel upgrade	Interior	01/01/26	Q2 2027	$892,000	$426,602	Deferred
Landscape / irrigation	Energy	01/02/25	Q2 2025	$886,000	$757,628	Bidding
Roof replacement - Bldg D	Life Safety	07/01/26	Q3 2025	$639,000	$257,675	Approved
Fence replacement	Energy	08/19/25	Q2 2027	$170,000	$135,211	Approved
Lobby renovation	Energy	07/23/23	Q1 2026	$479,000	$109,194	Complete
LED lighting retrofit	Life Safety	04/08/24	Q2 2026	$491,000	$129,502	Complete
Sewer line repair	Site	01/28/23	Q1 2025	$515,000	$207,199	Bidding
LED lighting retrofit	Building	08/25/23	Q2 2027	$328,000	$176,553	In progress

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Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 42 months.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $99,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $373,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $296,000. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
LED lighting retrofit	Site	09/13/25	Q1 2027	$404,000	$168,356	Bidding
Signage / monument	Life Safety	09/08/26	Q4 2026	$264,000	$254,635	Approved
Elevator modernization	Life Safety	12/15/23	Q2 2027	$848,000	$191,710	Complete
Signage / monument	Site	10/06/24	Q2 2027	$303,000	$69,796	Approved
Door hardware	Energy	02/19/24	Q2 2026	$484,000	$94,167	In progress
Fire alarm panel upgrade	Interior	01/19/25	Q3 2027	$356,000	$241,828	Deferred
Signage / monument	Site	03/11/24	Q3 2027	$320,000	$38,203	Bidding
Exterior paint	Interior	03/29/25	Q2 2025	$148,000	$28,592	In progress
Unit interior upgrades	Site	02/08/23	Q4 2026	$237,000	$85,674	Bidding
Amenity renovation	Life Safety	11/27/26	Q4 2026	$821,000	$303,912	Deferred
Amenity renovation	Site	09/08/23	Q4 2027	$375,000	$114,360	In progress
Sewer line repair	Energy	11/22/23	Q4 2025	$128,000	$56,006	Complete
Pool resurfacing	Site	03/27/25	Q2 2027	$588,000	$255,780	Bidding
Elevator modernization	Building	10/08/23	Q3 2025	$105,000	$46,178	Approved
Parking lot resurfacing	Energy	03/31/23	Q4 2025	$879,000	$831,663	In progress
Security camera upgrade	Building	06/08/23	Q1 2026	$772,000	$50,161	Deferred
Unit interior upgrades	Interior	04/04/24	Q2 2026	$329,000	$236,964	Deferred
Parking lot resurfacing	Life Safety	01/10/26	Q3 2025	$375,000	$278,032	Deferred
Roof replacement - Bldg C	Building	11/07/23	Q2 2025	$387,000	$171,596	In progress
Fence replacement	Life Safety	10/13/26	Q1 2027	$533,000	$422,364	Approved
Elevator modernization	Energy	10/03/23	Q2 2027	$714,000	$50,315	Deferred
Elevator modernization	Building	05/29/25	Q3 2025	$70,000	$31,260	Complete
Fire alarm panel upgrade	Interior	01/19/24	Q1 2027	$595,000	$251,374	Bidding
Lobby renovation	Life Safety	10/19/24	Q2 2027	$420,000	$55,424	In progress
Fence replacement	Site	09/23/25	Q1 2027	$402,000	$99,729	In progress
Elevator modernization	Building	02/12/23	Q3 2026	$163,000	$107,303	Deferred
Exterior paint	Energy	01/14/25	Q2 2027	$625,000	$488,393	Complete
Pool resurfacing	Life Safety	04/05/26	Q4 2025	$114,000	$55,491	Deferred
Door hardware	Interior	11/15/24	Q2 2027	$136,000	$86,129	Deferred
HVAC replacement	Energy	12/03/25	Q3 2026	$761,000	$463,356	Bidding
Storefront glazing	Interior	08/13/24	Q2 2026	$403,000	$242,583	Approved
Amenity renovation	Energy	03/18/23	Q2 2027	$86,000	$86,987	Bidding
Landscape / irrigation	Life Safety	05/28/25	Q2 2027	$96,000	$47,217	Approved
Landscape / irrigation	Energy	04/14/25	Q3 2026	$207,000	$201,523	Complete
Storefront glazing	Life Safety	06/23/25	Q1 2027	$833,000	$244,333	Complete
Exterior paint	Energy	08/21/26	Q2 2025	$60,000	$47,869	Approved
Roof replacement - Bldg B	Building	05/10/26	Q1 2027	$358,000	$78,960	Deferred
LED lighting retrofit	Site	11/22/26	Q4 2027	$342,000	$243,681	Approved
ADA compliance	Building	04/15/24	Q4 2027	$467,000	$314,196	Approved
LED lighting retrofit	Energy	12/26/26	Q4 2025	$577,000	$43,035	Approved
Fire alarm panel upgrade	Life Safety	09/26/26	Q3 2026	$308,000	$170,105	Bidding
Landscape / irrigation	Energy	02/12/24	Q2 2027	$427,000	$320,908	Approved

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Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $206,000.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $437,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 12.8% with an equity multiple of 1.42x over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 25 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $66,000.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is walkable to transit, with 16 structured parking spaces shared between uses. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The property is walkable to transit, with 48 structured parking spaces shared between uses. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $178,000.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Building	04/20/26	Q2 2025	$830,000	$165,647	Deferred
Security camera upgrade	Interior	03/01/23	Q4 2027	$534,000	$418,550	Approved
Roof replacement - Bldg C	Energy	04/15/24	Q1 2026	$702,000	$660,143	In progress
Storefront glazing	Energy	10/18/25	Q2 2026	$497,000	$117,422	Deferred
Fence replacement	Energy	07/24/23	Q2 2027	$528,000	$145,093	Approved
Roof replacement - Bldg D	Building	03/07/25	Q4 2027	$524,000	$422,857	Bidding
Water heater replacement	Life Safety	09/06/25	Q4 2027	$129,000	$75,756	Bidding
Signage / monument	Building	10/07/26	Q3 2027	$374,000	$241,968	Bidding
Amenity renovation	Site	05/08/24	Q4 2027	$808,000	$416,077	Approved
Pool resurfacing	Building	11/14/25	Q3 2027	$646,000	$109,874	Complete
Fence replacement	Building	05/28/25	Q3 2025	$137,000	$121,065	Approved
Landscape / irrigation	Interior	11/05/24	Q1 2027	$682,000	$375,560	Complete
ADA compliance	Interior	02/10/24	Q2 2026	$325,000	$52,151	In progress
Water heater replacement	Interior	08/11/26	Q4 2025	$606,000	$402,259	Bidding
LED lighting retrofit	Interior	11/02/24	Q3 2026	$834,000	$660,043	Complete
Pool resurfacing	Life Safety	02/27/25	Q1 2025	$41,000	$7,214	Complete
Exterior paint	Building	11/29/26	Q1 2025	$644,000	$438,979	Bidding
Elevator modernization	Site	01/04/26	Q4 2027	$503,000	$316,000	Deferred
Fire alarm panel upgrade	Life Safety	03/14/26	Q1 2026	$249,000	$40,628	Bidding
Signage / monument	Building	05/31/23	Q4 2025	$440,000	$171,195	Complete
Amenity renovation	Site	10/15/23	Q2 2025	$467,000	$95,207	Deferred
Door hardware	Building	07/08/23	Q3 2025	$342,000	$196,668	In progress
LED lighting retrofit	Building	07/19/24	Q3 2026	$609,000	$322,701	Approved
Water heater replacement	Life Safety	09/05/24	Q3 2027	$64,000	$41,326	Bidding
Sewer line repair	Life Safety	11/17/24	Q3 2027	$531,000	$143,776	In progress
Sewer line repair	Building	01/18/25	Q3 2026	$757,000	$501,901	Complete
Door hardware	Interior	09/04/25	Q3 2025	$223,000	$101,710	Bidding
Fire alarm panel upgrade	Interior	04/15/23	Q3 2026	$497,000	$430,041	In progress
LED lighting retrofit	Building	12/29/23	Q2 2027	$250,000	$199,585	In progress
Storefront glazing	Interior	08/02/24	Q1 2027	$299,000	$260,172	In progress
Roof replacement - Bldg D	Life Safety	09/01/25	Q2 2026	$446,000	$281,919	Bidding
Pool resurfacing	Life Safety	10/02/23	Q2 2027	$300,000	$298,133	Bidding
Storefront glazing	Life Safety	12/08/25	Q1 2026	$103,000	$32,951	In progress
HVAC replacement	Building	11/08/26	Q3 2025	$522,000	$36,399	Complete
Roof replacement - Bldg D	Life Safety	11/13/24	Q1 2027	$825,000	$409,700	Complete
Security camera upgrade	Building	07/14/23	Q1 2025	$133,000	$37,546	Complete
Landscape / irrigation	Site	08/12/23	Q3 2025	$650,000	$166,617	Deferred
Storefront glazing	Interior	02/24/26	Q3 2025	$316,000	$19,026	In progress
Fire alarm panel upgrade	Site	08/26/23	Q2 2026	$430,000	$108,492	In progress
Unit interior upgrades	Building	02/10/24	Q3 2026	$481,000	$187,061	In progress

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Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $215,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $108,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 15 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $143,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 8 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Summary and Notes

Income and Expense Review

Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $383,000, representing a 10.8% increase over the prior year. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The going-in capitalization rate of 6.05% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses.

Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.7% of billed charges, with bad debt of 5.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The project combines ground-floor retail and restaurant space with upper-level residential and office components. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members.

The property is walkable to transit, with 46 structured parking spaces shared between uses. Collections for the period were 88.2% of billed charges, with bad debt of 4.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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